

M/S Redbird Flight Training Academy ... vs M/S National Insurance Co. Ltd on 8 April, 2026

IN THE COURT OF SHRI RAJ KUMAR:
DISTRICT JUDGE, (COMMERCIAL COURT)-01,
DWARKA COURTS (S/W): DELHI.

CS (COMM) 505/2024
CIS No. DLSW01-009674-2024

In the matter of :
M/s Redbird Flight Training Academy Pvt. Ltd.
C-713/G, 1st Floor, Palam Extn., Sector-7,
Dwarka, New Delhi-110077.
Email ID: coo@redbirdaviation.com
7678380024, #011-49122304,
Through its Chief Operating Officer,
Sh. Puneet Malhotra PLAINTIFF

Versus

M/s National Insurance Co. Ltd.
124, Jeevan Bharti Building, Tower-II,
Level 4, Connaught Place-110001, Delhi. DEFENDANT

Date of Institution	: 09.10.2024
Date when the case reserved for Judgment	: 17.03.2026
Date of Judgment	: 08.04.2026

SUIT FOR RECOVERY OF RS. 1,13,36,667/- AS PRINCIPAL
AMOUNT PLUS RS. 56,13,048/- INTEREST @ 18%
TOTTALLING RS. 1,69,49,715/- .

JUDGMENT

1. The present suit for recovery of the amount of Rs.1,13,36,667/- (Rupees One Crore Thirteen Lakh Thirty Six Thousand Six Hundred Sixty Seven Only) together with the pendente-lite and future interest has been instituted by the plaintiff against the defendant under the provisions of the Commercial Courts Act.

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CASE OF THE PLAINTIFF

2. Shorn off the unnecessary details, the facts in brief, necessary for the disposal of the present suit for recovery instituted by the plaintiff as disclosed in the plaint are that the plaintiff M/s Redbird Flight Training is a company incorporated under the Companies Act having its office at C-713/G,

First Floor, Palam Extension, Sector-7, Dwarka, New Delhi. It has been further stated that Sh. Puneet Malhotra, is the Chief Operating Officer in the plaintiff company, who has been authorized to sign, verify and institute the present suit on behalf of the plaintiff company by virtue of the Board Resolution.

3. The plaintiff, in the plaint, has further averred that the defendant is an insurance company and is an insurer within the definition of Section 2(9) of the Insurance Act, 1938 and is governed by the provisions of The Insurance Act together with the rules and regulations framed by the Insurance Regulatory and Development Authority Act (IRDA), 1999 pertaining to the business of insurance. It has been further stated that the defendant company is in the business of Aviation Insurance covering various aircrafts and for that purpose, the defendant charges insurance amount as per the terms and conditions of the policy. It has been further stated that the defendant, in essence, is a service provider.

4. It has been further stated that the plaintiff company is engaged in the business of imparting training to the budding Pilots and for that purpose, the plaintiff has set-up a training institute at C-713/G, First Floor, Palam Extension, Sector-7, Dwarka, New CS (COMM) 505/2024 Page no. 2 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

Delhi. It has been further stated that the plaintiff company has got approved the training course from DGCA (Director General of Civil Aviation). It has been further stated that after the theoretical instructions, the budding Pilots are taken to one of the plaintiff's various Airbases located at Baramati, Kalaburagi, Belagavi, Seoni and Lilabari. It has been further stated that the Flying Training was being imparted by the plaintiff company from the said Airfields in terms of the license granted to the plaintiff.

5. It has been further stated that the plaintiff company, before obtaining the coverage, has completely made known to the defendant company its business and manner in which the training is being imparted. It has been further stated that the defendant company after satisfying itself had issued the Policy No. 163300/43/20/10000169 for the period from 19.01.2021 to 18.01.2022 but however the terms and conditions of the policy were not provided to the plaintiff company by the defendant. It has been further stated that besides the above said policy, the plaintiff company was holding two other policies from the defendant company at the same time. It has been further stated that the plaintiff company paid a premium of Rs. 5,72,005/- towards policy no. 163300/43/20/10000169 to ensure that the aircraft of the plaintiff is properly insured before any flight is executed. The plaintiff has annexed the receipt of the premium along with the plaint.

6. It has been further stated that on 20.09.2021, the aircraft of the plaintiff company was scheduled to operate from Baramati CS (COMM) 505/2024 Page no. 3 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

Airport for imparting training and after all the necessary pre-flight inspection and checks, the aircraft of the plaintiff company took off from Baramati Airfield for training sortie. It has been further stated that the Trainee Pilot namely Sh. Shivam Rajendra Mehra had completed 4 Circuit

Landing with the PIC and it was his 4th Solo Check. It has been further stated that the Aircraft took off at about 7.55 UTC from runway 29, followed the circuit pattern and requested the ATC for landing clearance on runway 29. It has been further stated that the aircraft was cleared by ATC for landing. It has been further stated that the Trainee Pilot flew for about 10 minutes and then, the Trainee Pilot made a smooth Touchdown and Roll. The plaintiff has stated that it seems that the student Pilot opened power after which the aircraft got Air-borne, bounced on the runway. It has been further stated that the student Pilot tried to go around but the altitude was too high, after which, the left wing dropped and the aircraft toppled on the left side of the runway and in this manner, the aircraft got damaged. It has been further stated that the aircraft landed on the main landing gears followed by the nose landing gear and the aircraft rolled for 3-4 seconds. It has been further stated that suddenly the aircraft pitched up, got Air-borne again with high pitch and soon started sinking with a left bank. It has been further stated that the left wing touched the unpaved surface on the left side of the runway 29 and the nose section contacted the unpaved surface. It has been further stated that the aircraft toppled and sat down in upside down position.

7. It has been stated by the plaintiff in the plaint that vide email dated 21.09.2021, the plaintiff notified the broker, through CS (COMM) 505/2024 Page no. 4 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

whom the coverage was obtained at Delhi and requested the defendant company to appoint a Surveyor for the assessment of the loss. As per the case of the plaintiff, the defendant company appointed M/s S.B. Nalluri & Associates for the examination of the aircraft and assessment of the loss. The Surveyor visited the site of the accident and examined the aircraft. It has been further stated that the Surveyor noticed a number of damages, the details of which have been mentioned by the plaintiff in para no. 7 of the plaint. It has been further stated that the Surveyor, in his report, has submitted that the aircraft suffered extensive damages mainly to its fuselage, wings, engine compartment, fire wall, nose landing gear, assly, vertical stablizer, propellor, cockpit and instruments. It has been further stated that the Surveyor, in his report, has concluded that the aircraft sustained severe impact beyond economic repairs.

8. It has been further stated that the Surveyor, after his visit, sought various documents, which were sent by the plaintiff company vide email dated 06.10.2021 and hard copies of the same were also provided to the defendant company vide courier dated 01.11.2021. It has been further stated that after the receipt of the documents, the Surveyor sought further documents, which were provided by the plaintiff company, vide email dated 17.01.2022. It has been further stated that the hard copies of the above said documents were also provided to the defendant company vide courier dated 20.01.2022. It has been further stated that the plaintiff company also sent further documents to the Surveyor vide email dated 07.06.2022 as per the demand of the Surveyor. It has CS (COMM) 505/2024 Page no. 5 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

been further stated that the Surveyor raised further queries and sought various clarifications, in respect of the terminology used by the plaintiff company, in its normal operations and the plaintiff company, vide email dated 13.06.2022 provided the said clarifications. It has been further stated

that after examining the loss, the Surveyor assured the plaintiff company that the loss was admissible under the Policy. It has been alleged that however, the defendant company, continued to delay the settlement of the claim of the plaintiff company on one pretext or the other.

9. It has been further stated that the DGCA also appointed an Investigation Team in order to adopt further safety measures. It has been further stated that the report was submitted by the Investigator directly to the concerned authority. It has been further stated that the said investigation was sought by the DGCA in order to avoid any re-occurrence of the incidence. The plaintiff has further stated that the defendant company failed to examine the said report contrary to the assessment made by the Surveyor and thus, repudiated the claim of the plaintiff company vide letter dated 10.02.2023.

10. It has been further stated that the defendant company, in the letter dated 10.02.2023 has alleged that the aircraft VT-RBE was operated by the plaintiff in contravention of the DGCA Flying Training Advisory Circular, 1 of 2013. It has been further stated that the defendant company alleged that no cameras were installed in the aircraft in violation of the above said circular. It has been further stated that the defendant company alleged that the plaintiff CS (COMM) 505/2024 Page no. 6 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

company was also operating in violation of the DGCA's CAR Sec. 2 Series X Part II Para 9.4 which requires that every operator must prepare a load and trim sheet before the commencement of each flight. It was alleged that the load and trim sheet for the relevant flight was prepared by the Instructor and not by the Trainee Pilot. It was further alleged that the plaintiff company failed to provide the adequate training to the Pilots to conduct 'Assisted Touch & Go Landing' before allowing such Pilots to undertake solo flights, which was in breach of the DGCA Training Manual and which was the direct cause of the incident in question resulting into damage to the aircraft. It was further alleged that the training syllabus of the plaintiff company did not include a 'Balked Landing Procedure', which was in contravention of the DGCA approved training syllabus.

11. The plaintiff, in the plaint, has further stated that on the contrary, the Investigator in his report has stated that the non-availability of the load and trim sheet for the solo flight was not the contributory factor of the incident in question. It has been further stated that the Surveyor in his report has categorically mentioned that the aircraft was air worthy for the flight at the time of the accident; all the log-books and other records of maintenance of the aircraft were properly maintained and were found in order; there was no violation of the terms and conditions of the insurance policy and that there was no breach of any warranty. It has been further stated that the Surveyor has categorically mentioned in his report that there was no violation of any operation /maintenance rules and regulations prescribed by DGCA. It has been further CS (COMM) 505/2024 Page no. 7 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

stated that as per the report of the Surveyor, the weather was clear and so was landing but it was the Pilot mistake that he applied power due to which the aircraft instead of stopping, pitched up, bounced and toppled. The proximate cause of the accident was the human error i.e. the mistake of the Pilot. The loss had taken place during landing and thus, the loss was within the scope of the policy coverage. The plaintiff has submitted that the claim was squarely covered under the policy, as

has been affirmed by the Surveyor, in his report. It has been further stated that the plaintiff company has neither caused nor contributed nor condoned the unforeseen incidents.

12. It has been further stated that the defendant company in the repudiation letter dated 10.02.2023 has further alleged that the plaintiff company failed to comply with the following conditions:

1. The Insured shall at all times use due diligence and do and concur in doing everything reasonably practicable to avoid accidents and to avoid or diminish any loss hereon,

2. The Insured shall comply with all air navigation and airworthiness orders and requirements issued by any competent authority affecting the safe operation of the Aircraft and shall ensure that:

(a) Aircraft is airworthy at the commencement of each Flight,

(b) Log Books and other records in connection with the Aircraft which are required by any official regulations in force from time to time shall be kept up to date and shall be produced to the Insurers or their CS (COMM) 505/2024 Page no. 8 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

Agents on request:

(c) The employees and agents of the Insured comply with such orders and requirements.

13. The plaintiff has further stated that the defendant company has also alleged the breach of Air Navigation Regulation Clause (AVN 94), which states as under:

"The cover afforded to each Insured by the Policy shall not be invalidated by any act or omission which results in a breach of any air navigation or airworthiness orders or requirements issued by any competent Authority affecting the safe operation of the Aircraft provided that the insured so protected has not caused, contributed to or knowingly condoned the said act or omission. Any Insured who has caused, contributed to or knowingly condoned the said act or omission shall not be entitled to indemnity under the Policy."

14. The plaintiff has further stated that the plaintiff company has not committed any breach of the terms and conditions of the policy including AVN-94 as all the necessary checks were carried out by the plaintiff before the commencement of the flight. It has been further stated that moreover, none of the conditions, were made known to the plaintiff company. It has been alleged that the act of withholding the genuine claim has caused tremendous loss to the plaintiff company. It has been further stated that the aircraft was being regularly maintained, was air-worthy and fit to fly. It has been further stated that all the pre-flight inspection and checks were done by the plaintiff but the

unfortunate and unforeseen incident occurred due to the human error, which was well covered under the policy. It has been stated that the plaintiff company has not committed any fundamental breach of the contract of insurance CS (COMM) 505/2024 Page no. 9 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

and thus, the repudiation of the claim is based on false and frivolous grounds. It has been alleged that there is deficiency of services on the part of the plaintiff company.

15. It has been further stated that as per the guidelines of IRDA, the claim has to be processed and settled within a period of three months but the defendant company has failed to settle the claim of the plaintiff within a period of 90 days and as such, the defendant company is liable to pay the interest @ 18% per annum on the sum insured. It has been further stated that the sum insured is Rs. 1,13,36,667/- but the defendant is liable to pay the interest to the extent of Rs. 56,13,048/- @ 18% from 01.01.2023 till 30.09.2024 and thus, the defendant has become liable to pay the total amount of Rs. 1,69,49,715/- to the plaintiff company.

16. It has been further stated that this Court has the jurisdiction to entertain and try the present suit as the coverage was obtained by the plaintiff company through the Broker from its office situated within the jurisdiction of this Court, all the communications were exchanged from the office of the plaintiff company situated within the jurisdiction of this Court, the amount of the suit is payable by the defendant company at the office situated within the jurisdiction of this Court.

17. On the basis of the above said allegations as contained in the plaint, the plaintiff has prayed for a money decree for an amount of Rs. 1,69,49,715/- (Rupees One Crore Sixty Nine Lac Forty Nine Thousand Seven Hundred Fifteen Only) together with CS (COMM) 505/2024 Page no. 10 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

the pendente lite and future interest @ 18% p.a from the date of institution of the present suit till the date of recovery of the decretal amount. The plaintiff has also prayed for the costs of the suit.

DEFENCE OF THE DEFENDANT

18. Written statement has been filed on record by the defendant taking various preliminary objections such as that the present suit for recovery against the defendant is not maintainable because the claim raised by the plaintiff has been rightly repudiated by the defendant vide a detailed and self-explanatory repudiation letter dated 10.02.2023 on account of violation of various clauses of the Aircraft Hull Liabilities Policy bearing no. 163300432010000169. It has been further stated that the repudiation of the claim of the plaintiff is a well reasoned decision after the thorough scrutinization of the survey report and the Investigation Report of AAIB (Aircraft Accident Investigation Bureau). It has been further stated that there is no deficiency in the services on the part of the defendant and as such, the present suit is an abuse of the process of law.

19. In the preliminary objections, the defendant has further stated that if there is deficiency in services as pleaded by the plaintiff, then, the appropriate forum is the forum under Consumer

Protection Act, 2019 and as such, the present suit is not maintainable.

20. The defendant has admitted that the above said policy which was obtained by the plaintiff from the defendant was valid CS (COMM) 505/2024 Page no. 11 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

w.e.f 19.01.2021 to 18.01.2022 but the defendant has taken the stand that the contract of insurance is the contract of Uberrima Fides (Utmost Good Faith) and the contract of insurance has to be strictly construed. It has been stated that the breach of the terms and conditions of the insurance policy violates the basic and fundamental principal of utmost good faith and as such, the present suit is not maintainable.

21. The defendant has taken the stand that the Investigation Report of AAIB clearly reveals that the plaintiff did not provide the training to the Trainee Pilot for 'Touch & Go Landing' before conducting solo flights despite the fact that the plaintiff's own Training Procedures Manual (TPM) included the DGCA approved training syllabus which requires the trainee Pilot to undergo 'Assisted Touch & Go Landing' before conducting solo flights. It has been further stated that the above said Investigation Report of AAIB has categorically concluded that the Trainee Pilot initiated a Balked Landing Procedure instead of stopping the aircraft after touch down which caused the incident in question. It has been further stated that the Trainee Pilot increased the power from idle to take off but did not change the flap settings for the wings from its landing configuration to the take-off configuration as specified in the Aircraft Flight Manual and as a result, when the Pilot went for take-off, the aircraft stalled and dived with the left wing dropping first. It has been further stated that it was observed during the investigation that procedure for carrying out the Balked Landing was documented in the Aircraft Flying Manual but the pre-solo training syllabus does not include any un-assisted Balked Landing Exercise under supervision during dual flight, in which CS (COMM) 505/2024 Page no. 12 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

the Trainee is required to practise unassisted Balked Landing Procedure, which is in contravention to the DGCA's approved training syllabus. It has been further stated that it was confirmed by the Management that the said procedure is not practised by the Trainees during pre-solo training stage. It has been further stated that the Trainee Pilot was also instructed to do the same by the Instructor which eventually caused the accident. It has been alleged that there is an deliberate omission and violation on the part of the plaintiff of the DGCA Training Manual.

22. It has been stated by the defendant in the preliminary objections of the written statement that even the load and trim sheet for the relevant flight was prepared by the Instructor and not by the Trainee Pilot in violation of Section 2, Series X, Part II, Para 9.4 of DGCA's Civil Aviation Requirements. It has been further stated that the cameras were not installed in the training aircraft for surveillance in violation of the DGCA Flying Training Advisory Circular-01 of 2023. It has been further stated that the plaintiff has violated the terms and conditions of the Insurance Policy, which was issued subject to the warranties & clauses applicable thereto. It has been alleged that the plaintiff was found in serious contravention of the warranty applicable to all the sections of the Aviation Hull Liability Policy, which states:

1. The Insured shall at all times use due diligence and do and concur in doing everything reasonably practicable to avoid accidents and to avoid or diminish any loss hereon,
 2. The Insured shall comply with all air navigation and airworthiness orders and requirements issued by any competent authority affecting the safe operation of the
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Aircraft and shall ensure that:

- (a) Aircraft is airworthy at the commencement of each Flight,
- (b) Log Books and other records in connection with the Aircraft which are required by any official regulations in force from time to time shall be kept up to date and shall be produced to the Insurers or their Agents on request:
- (c) The employees and agents of the Insured comply with such orders and requirements.

23. In the preliminary submissions, the defendant has admitted that the defendant is a public sector undertaking dealing in the business of insurance. The defendant has admitted the issuance of the policy in favour of the plaintiff but the defendant has taken the stand that the above said policy was issued by the Rourkela Divisional Office of the defendant through M/s Aequitas Insurance Brokers Pvt. Ltd., the representative of the plaintiff. It has been further stated that the plaintiff was also issued two other policies effective from 19.01.2022 to 18.01.2022, the details of which have been given in para no. 6 of the preliminary submissions of the written statement. It has been further stated that the insurance cover obtained by the plaintiff was subject to the other policy terms, conditions, exclusions and warranties mentioned therein.

24. The defendant has admitted the appointment of the Surveyor on 29.09.2021. The Surveyor report dated 20.01.2022 CS (COMM) 505/2024 Page no. 14 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

submitted by the Surveyor to the defendant has also been admitted by the defendant. The defendant has taken the stand that AAIB (Aircraft Accident Investigation Bureau), a division of the Ministry of Civil Aviation conducted the investigation in respect of the accident, which took place on 20.09.2021 and found that the plaintiff was acting in contravention of the DGCA's Flying Advisory Circular 1 of 2013 as no cameras were installed in the aircraft. In the preliminary submissions, the defendant has reiterated the stand as taken by the defendant in the preliminary objections.

25. In the para-wise reply on merits as well, the defendant has reiterated the stand as taken by the defendant in the preliminary objections and in the preliminary submissions. The defendant has denied that Sh. Puneet Malhotra has been authorised to sign, verify and institute the present suit on

behalf of the plaintiff. It has been denied that the plaintiff before obtaining the coverage had completely made known to the defendant its business and the manner in which the training was being imparted. It has been submitted that the policy in question was issued to the plaintiff based on the information provided by the plaintiff at the time of obtaining the policy. It has been denied that the defendant had not supplied the terms and conditions of the policy to the plaintiff. It has been stated that the plaintiff has not approached the defendant for the first time seeking the policy coverage but the policy in question was renewal of the previous policy held by the plaintiff being policy no. 163300431910000087. It has been further stated that the other two policies held by the plaintiff were also the CS (COMM) 505/2024 Page no. 15 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

renewal of the previous policies. It has been submitted that the plaintiff was well aware of all the terms and conditions of the policy.

26. The defendant has further taken the stand that the Surveyor report is not binding on the insurer because in the present case, the investigation done by AAIB shows various omissions and violations on behalf of the plaintiff. It has been further stated that the claim of the plaintiff has been rightly repudiated. It has been further stated that the plaintiff is neither entitled for the sum insured nor for the interest as claimed by the plaintiff. It has been prayed that suit of the plaintiff be dismissed with costs.

REPLICATION

27. Perusal of the record of the case reveals that no replication to the written statement of the defendant has been filed on record by the plaintiff.

ISSUES

28. From the pleadings of the parties, Ld. Predecessor of this Court vide orders dated 03.04.2025 framed the following issues in the present matter:

1. Whether the plaintiff is entitled to decree of recovery of Rs. 1,13,36,667/-, as prayed for, in the plaint ? OPP
2. If answer to issue no. 1 is in affirmative, whether the plaintiff is entitled to interest, if so, at what rate and for which period ? OPP
3. Relief.

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MODIFICATION OF ISSUE NO.1

29. Perusal of ordersheet dated 28.04.2025 passed by the Ld. Predecessor of this Court reveals that the issue no. 1 was modified as under:

1. Whether the plaintiff is entitled to decree of recovery of Rs. 1,69,49,715/- as prayed for, in the plaint ? OPP PLAINTIFF'S EVIDENCE

30. The plaintiff company has examined its Chief Operating Officer Sh. Puneet Malhotra as PW-1 and in his evidence by way of affidavit Ex. PW-1/A, PW-1 has reiterated and reaffirmed the stand as taken by the plaintiff in the plaint. PW-1 has relied upon a number of documents such as Copy of Incorporation as Ex. PW-1/1, Copy of Resolution as Ex. PW-1/2, Copy of the policies and premium receipt as Ex. PW-1/3(colly), Copy of e-mail dated 21.09.2021 as Ex. PW-1/4, Copy of claim form alongwith trail mail as Ex. PW-1/5, Copy of trail mails regarding the appointment of surveyor as Ex. PW-1/6, Copy of trail mails dated 09.11.2021 as Ex. PW-1/7, Copy of trail mails dated 17.01.2022 as Ex. PW-1/8, Copy of trail mails dated 13.06.2022 as Ex. PW-1/9, Copy of mail dated 22.11.2022 as Ex. PW-1/10, Copy of trail mails dated 13.12.2022 as Ex. PW-1/11, Copy of trail mail dated 20.12.2022 as Ex. PW-1/12, Copy of trail mail dated as 27.12.2022 Ex. PW-1/13, Copy of repudiation letter alongwith trail mail dated 10.02.2023 as Ex. PW-1/14, Copy of trail mail dated 12.12.2023 as Ex. PW-1/15, Copy of trail mail dated 03.07.2024 as Ex. PW-1/16, Copy of details of training progress Mark A, Copy of surveyor report as Ex. PW-1/18, Copy of notice as Ex. PW-1/19, CS (COMM) 505/2024 Page no. 17 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

Copy of dispatch record as Ex. PW-1/20 and Certificate under Section 65B/ 63 of BSA as Ex. PW-1/21.

31. In the cross-examination, PW-1 has stated that he is a graduate and he has been associated with the plaintiff company since August 2021. PW-1 has further stated that he left the services of the plaintiff company w.e.f 31.05.2025. PW-1 has denied the suggestion that after resigning from the plaintiff company on 31.05.2025, he is not authorized to depose on behalf of the plaintiff. PW-1 has identified the signatures of Dr. Lalit Gupta, the Director of the plaintiff company on the Board Resolution, which was exhibited as Ex. PW-1/P1, during the cross-examination of PW-1. PW-1 has admitted it to be correct that the training to the Trainee Pilots was required to be given as per DGCA approved course curriculum.

32. PW-1 has stated that 'Balked Landing' means that the aircraft is brought down and after touching the ground, the aircraft is lifted again. As per PW-1, 'Balked Landing' is also known as 'Touch and Go Landing' or 'Bounced Landing'. PW-1 admits it to be correct that the document Mark-A is the complete record of the training undergone by Mr. Shivam Rajender Mehra at the plaintiff company. PW-1 has denied the suggestion that as per the document Mark-A, which was exhibited as Ex. PW-1/P2, the assisted 'Balked Landing Training' was never given to the Trainee Pilot. After going through Ex. PW-1/P2, PW-1 states that the training was provided on 14.03.2021 and same was mentioned at page no. 229 of the list of documents filed by the plaintiff and the CS (COMM) 505/2024 Page no. 18 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

same was part of Ex. PW-1/P2. The above said date was encircled in red at point A in Ex. PW-1/P2.

33. In the further cross-examination done on 14.08.2025, PW-1 admits it to be correct that the Flying Training provided by the plaintiff is as per the approved programme by the DGCA, known as TPM (Training and Procedure Manual). PW-1 admits that the TPM, which was exhibited as Ex. PW-1/D1 during the cross-examination of PW-1, was the approved TPM by the DGCA for the relevant period. PW-1 has neither admitted nor denied the suggestion that the Air Exercise Training as provided in Chapter- V of the TPM, was to be provided to the Trainee Pilot, in the same sequence, as mentioned in the Flying Training Sortie Profiles as contained in Chapter-V of Ex. PW-1/D1. PW-1 has admitted it to be correct that the plaintiff cannot by-pass the procedures and the training exercises provided in Ex. PW-1/D1. PW-1 further states that so far as he thought, 'AIR FAM' was standing for Air Field Familiarization and CL was meant for Circuit Landing. PW-1 was unable to tell as to for what GF stood for. PW-1 has neither admitted nor denied the suggestion that the term 'Go Around' and 'Touch and Go' were two different exercises as per Ex. PW-1/D1. PW-1 has neither admitted nor denied the suggestion that 'Bounce/Balloon' and 'Touch and Go' were two different exercises as per Ex. PW-1/D1.

34. PW-1 has admitted it to be correct that the flying hours of a Trainee Pilot are calculated separately, while the Trainee Pilot flies along with the Instructor / Trainer and while he flies solo.

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PW-1 further states that the Flying Training Progress Record is maintained by the concerned Flying Instructor and the same remained in the custody of the Flying Training Clerk. PW-1 admits that he has never been a Flying Instructor in the plaintiff company or otherwise. PW-1 admits it to be correct that he never made any entry in Ex. PW-1/P2. PW-1 does not remember as to at which stage of the training, the Trainee Pilot namely Mr. Shivam Rajender Mehra left the plaintiff's training academy. PW-1 further states that he was not aware of the term 'T/D' as mentioned in Ex. PW-1/P2 at page no. 231. PW-1 admits that Captain Unnati was one of the Training Instructors for the Trainee Pilot on 14.03.2021. PW-1 further states that Captain Unnati was not working with the plaintiff company any more. PW-1 further states that Captain Yogesh was the Training Instructor for the Trainee Pilot on the date of the accident. PW-1 is not aware as to whether Captain Yogesh was still working with the plaintiff or not. PW-1, after going through the record of the case, states that as mentioned on page no. 69 of the documents filed along with the plaint forming part of Ex. PW-1/6, the Trainee Pilot in question had gone for 4 th Solo Check along with Captain Yogesh and thereafter, released for Solo. PW-1 has denied the suggestion that the Trainee Pilot was not provided with adequate and appropriate assisted 'Touch and Go' Training before he was allowed to fly solo.

35. PW-1 has further stated that the circular dated 12.08.1984 and 14.05.1993, which were the DGCA circulars on Airworthiness were the revised circulars and the same were collectively exhibited as Ex. PW-1/P3. PW-1 has admitted it that the above said two CS (COMM) 505/2024 Page no. 20 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

circulars were applicable to the plaintiff academy at the time of accident in question.

36. PW-1 further states that the Air Craft Investigation Bureau, under the Ministry of Civil Aviation, Government of India had prepared the report with regard to the incident dated 20.09.2021. The said report was exhibited as Ex. PW-1/D2, during the cross- examination of PW-1. PW-1 has neither admitted nor denied the suggestion that the Pilot in question was continuously struggling in landing exercises during his training with the plaintiff academy.

DEFENDANT'S EVIDENCE

37. The defendant company has examined Sh. Rudranil Paul, its Manager situated at its Head Office as DW-1 and in his evidence by way of affidavit Ex. DW-1/A on record, he has reiterated and reaffirmed the stand as taken by the defendant in the written statement. DW-1 has relied upon copy of the Air Craft Hull Liabilities Policy No. 163300/43/20/10000169 along with its terms and conditions as Mark DW-1/1; copy of the previous Air Craft Hull Liabilities Policy No. 163300/43/19/910000087 as Mark DW-1/2; Copy of the AAIB Investigation Report already exhibited as Ex. PW-1/D2 and the original Power of Attorney as Ex. DW-1/4.

38. In the cross-examination, DW-1 has stated that he has power to sign the documents by virtue of the Power of Attorney Ex. DW-1/4. DW-1 further states that he has not dealt with the CS (COMM) 505/2024 Page no. 21 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

underwriting of the insurance policy in question. DW-1 further states that Ex. PW-1/3 was issued by the defendant company at the relevant time along with its terms and conditions. DW-1 admits it to be correct that in the policy Ex. PW-1/3, it has not been specifically mentioned that the terms and conditions of the policy were also attached along with the policy. By way of volunteer, DW-1 states that it is a general practice that the terms and conditions of the policy are always attached along with the policy. DW-1 further states that he cannot show any document from the Court record that the terms and conditions of the policy were supplied along with the policy. DW-1 admits it to be correct that Ex. PW-1/3 i.e. the policy document shows that only three pages were printed. DW-1 further states that no Fresh Proposal Form was taken at the time of issuance of the policy in question since the same was the renewal of the previously obtained policy by the plaintiff. DW-1 further states that no Proposal Form has been filed on record. DW-1 admits it to be correct that in the Proposal Form, the defendant company seeks the details of the insured and his business before underwriting the risk. DW-1 further states that he is aware of the IRDAI Regulations. DW-1 further states that a Proposal Form was obtained by the defendant from the plaintiff before underwriting the risk but at the time of renewal, no Proposal Form was obtained from the plaintiff.

39. DW-1, in the cross-examination, admits it to be correct that a Surveyor was appointed in the present claim of the plaintiff. DW-1 admits it to be correct that the duty of the Surveyor includes the investigation of the claim. DW-1 further states that CS (COMM) 505/2024 Page no. 22 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

Ex. PW-1/18 is the report submitted by the Surveyor in the present claim. DW-1 admits it to be correct that as per the Surveyor Report, there was no violation of the policy terms and conditions and all the compliances were done by the plaintiff. By way of volunteer, DW-1 states that the Surveyor report is not binding upon the insurer on the admissibility of the claim. DW-1 admits it to be correct that the Surveyor has confirmed that the accident took place on account of the mistake of the Pilot. By way of volunteer, DW-1 states that the findings of the Surveyor were negated by Air Craft Accident Investigation Bureau (AAIB). DW-1 admits it to be correct that AAIB was not appointed by the insurer. By way of volunteer, DW-1 states that AAIB is a statutory authority.

40. DW-1, in his cross-examination, was asked a question to the effect that the investigation by the AAIB was carried out for the prevention of accidents and not for the purposes of apportionment of claim or liability and that the use of the report of AAIB for any other purpose, other than, the prevention of future accidents could lead to erroneous interpretations. DW-1 has answered the above said question by saying that the same was a disclaimer in the report by AAIB. DW-1 further states that however, the above said report was in public domain for use of all citizens of India and the same was a statutory investigation report. DW-1 was asked a further question that even in the said report, it was mentioned that probable cause of the accident was the inappropriate Air Craft Handling after touch down and incorrect execution of the Balked Landing Procedure. DW-1 has answered the above said question by admitting that the accident occurred on CS (COMM) 505/2024 Page no. 23 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

account of the incorrect execution of Balked Landing Procedure, which was never taught by the plaintiff to the Trainee Pilot during the Dual Training Procedures and that was the main reason of the loss.

41. DW-1, in the cross-examination, admits it to be correct that the defendant company was well-aware of the business of the plaintiff company. DW-1 further states that the defendant company has not received any training syllabus from the plaintiff before underwriting the insurance policy. DW-1 admits it to be correct that the defendant company was well-aware of the training procedure being imparted by the plaintiff company and that the same was approved by DGCA. DW-1 further states that the defendant company was not aware about the violations carried out by the plaintiff during the training procedure. By way of volunteer, DW-1 states that the defendant came to know the same from the AAIB Report only. DW-1 admits it to be correct that on earlier two occasions, the claims relating to the damages to the Training Aircrafts, were settled by the defendant company and no objection was raised by the defendant company pertaining to the Training Procedure of the plaintiff. DW-1 admits it to be correct that the defendant company had gone through Flight Training Progress Report of the Trainee Pilot, who was flying the aircraft, at the relevant time. By way of volunteer, DW-1 further states that the Surveyor never pointed out the violations in the Flight Training Progress Report, which was only available in the AAIB report. DW-1 admits it to be correct that the Surveyor had attached the Flight Training Progress Report along with the Survey Report.

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DW-1 further states that the Surveyor issued the report on 20.01.2022 and the same must have been received by the defendant company in the form of hard copy thereof, 10-15 days thereafter. DW-1 does not remember as to whether any objection was raised by the defendant company with the Surveyor in respect of the alleged shortcomings in the report.

42. In the next cross-examination done on 08.12.2025, DW-1 produced in the Court the original claim file, copy of which was exhibited as Ex. DW-1/X1. DW-1 admits it to be correct that the defendant company prepares the Claim Note after receipt of all the reports. DW-1 further states that in the Claim Note, no details about the settlement of the claim or about its repudiation have been mentioned. DW-1 further states that at page no. 9 of Ex. DW-1/X1, Claim Note for the settlement of the claim was prepared by the Regional Office. By way of volunteer, DW-1 states that the Head Office can always reverse the recommendations of the Regional Office. DW-1 admits it to be correct that the Regional Office Claim Note is part of the claim file. DW-1 admits it to be correct that no Claim Note has been prepared after 03.03.2022.

43. DW-1, in the cross-examination, further states that he is aware of the contents of Training Manual issued by the plaintiff company in terms of DGCA Guidelines. DW-1 further states that the defendant company never raised any objection regarding the Training Manual issued by the plaintiff company. DW-1 admits it to be correct that the plaintiff company was imparting the training as per the Training Manual of the plaintiff approved by the DGCA.

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However, DW-1 states that he could not understand the above said question. DW-1 again states that there was a gross violation of the Training Procedure imparted by the plaintiff from the approved Training Manual as pointed out in the AAIB report. DW-1 admits it to be correct that Flying Training Progress Chart is part of the Claim File. DW-1 admits it to be correct that in his examination- in-chief, in para no. 12 thereof, it has been mentioned that Pilot had landed momentarily. DW-1 admits it to be correct that there was no Ballooning issue or Bouncing issue. DW-1 further states that Balked Landing Procedure was an emergency procedure to avoid any accident.

44. DW-1 admits it to be correct that the Assisted Touch and Go exercise was part of the Dual Flying Operations and not a part of Solo Flights. By way of volunteer, DW-1 states that Assisted Touch and Go was a procedure, which was in the syllabus of the plaintiff and which was required to be exercised in Dual Flight Operations with the instructor but the plaintiff never taught the Assisted Touch and Go procedure to the Trainee Pilot. DW-1 admits it to be correct that till the date of accident, the training of the Trainee Pilot was not completed. DW-1 has denied the suggestion that as per IRDA Regulations, the claim has to be settled / repudiated within 30 days after the receipt of the Surveyor Report. DW-1 states that the claim has to be settled within a period of 30 days from the date of receipt of the last document from the side of the Claimant / Surveyor and in this case, the defendant company received the last document from the Surveyor / Claimant 30 days prior to date of the repudiation of the claim. DW-1 admits CS (COMM) 505/2024 Page no. 26 of 46 M/s Redbird

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that there was no such document on record. DW-1 admits it to be correct that the defendant company was not a part of AAIB report.

45. The defendant company has further examined Ms. Neha Kishor its AR from its office situated at Jhandewalan Extension, Delhi as DW-2 and this witness, in her evidence by way of affidavit Ex. DW-2/A on record has spoken about the Aircraft Hull Liabilities Policy Ex. PW-1/3, about the repudiation of the claim by the defendant and about the downloading of the investigation report from the e-website of AAIB. DW-2 has relied upon copy of the Board Resolution dated 16.05.1989 as Mark DW-2/1 and the certificate under Section 63 of BSA dated 02.04.2025 as Ex. DW-2/2, in her examination-in-chief, by way of affidavit.

46. In the cross-examination, DW-2 has stated that she has not dealt with the claim in question personally. DW-2 has admitted it to be correct that neither the insurance policy was underwritten by her nor the repudiation letter was issued by her. DW-2 has denied the suggestion that the claim was wrongly repudiated by the defendant company.

47. The last witness examined by the defendant company is Sh. Amit Kumar, the Assistant Director from the Aircraft Accident Investigation Bureau (AAIB), who has been examined as DW-3. In his examination-in-chief, DW-3 has stated that he has been working with AAIB as Assistant Director and he was a part of the team which investigated the accident dated 20.09.2021 involving CS (COMM) 505/2024 Page no. 27 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

Tecnam P2008JC Aircraft VT RBE operated by M/s Red Bird Flight Training Academy at Baramati. This witness produced in the Court a colored copy of the investigation report, bearing his signatures at point X, as Ex. DW-3/A.

48. In the cross-examination, DW-3 has admitted it to be correct that as per Rule 3(1)& (2) of the Aircraft (Investigation of Accident and Incident) Rules, 2017, the sole objective of the investigation of an accident or incident shall be the prevention of accident and incident and not to apportion the blame or liability. Copy of the rules was exhibited as Ex. DW-3/PX, during the cross- examination of DW-3.

49. DW-3, in the cross-examination, has further stated that the accident occurred due to inappropriate handling of the aircraft and incorrect execution of Balked Landing Procedure as specified in A.F.M. DW-3 further states that he had examined the TPM which was followed by the plaintiff company at the relevant time. DW-3 further states that TPM of plaintiff was approved by DGCA. DW-3 admits it to be correct that teaching of Balked Landing Procedure was not part of the said TPM. DW-1 further states that it was only for the said reason that it was suggested by the Investigation Team in the report to include the training of Balked Landing Procedure at pre-solo stage in all FTOs (Flying Training Organizations). DW-3 admits it to be correct that the plaintiff, at the relevant time, was imparting the training as per the TPM. DW-3 further states that the plaintiff

company was not imparting pre-solo Touch and Go Procedure and the same was not part of the TPM. DW-3 further CS (COMM) 505/2024 Page no. 28 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

states that Ex. PW-1/17 was provided by the plaintiff company and the same was examined by him before submitting the report.

50. After seeing pages no. 224, 229, 232, 234 & 246 of Ex. PW-1/17, DW-3 states that it was evident that the plaintiff company was performing Go Around, Mislanding and Circuit Approach. DW-3 admits it to be correct that the Trainee Pilot had opened power after landing and the aircraft pitched up. DW-3 further states that when the Pilot is committed to land the aircraft but due to any unsafe condition, he executed a Go Around, the same was called Balked Landing. DW-3 was asked a specific question as to whether he noticed any such unsafe condition, while the Trainee Pilot executed landing and DW-3 answered that no such unsafe condition was ascertained during the investigation. DW-3 further states that the Trainee Pilot stated that after landing, he felt ballooned and therefore, he initiated Go Around after Touch Down. By way of volunteer, DW-3 states that as per the instructor, the Touch Down was smooth. DW-3 further states that since there were two contradictory statements, therefore, the said fact of ballooning could not be ascertained.

51. DW-3 admits it to be correct that the Trainee Pilots are prohibited to carry out the Touch and Go procedure during solo flights. DW-3 admits it to be correct that the conclusions mentioned under the Column of Findings from 3.1 to 3.7 were not the cause of the accident. DW-3 further states that as per the investigation team, the findings mentioned as 3.10 were the probable cause of accident and the same was not part of the TPM CS (COMM) 505/2024 Page no. 29 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

of the plaintiff.

FINAL ARGUMENTS ADDUCED BY THE PLAINTIFF

52. In the written final arguments, the plaintiff has argued that the defendant company has examined three witnesses but the Surveyor has not been examined by the defendant. It has been further argued that as per the report submitted by the Surveyor, there was no breach of the terms and conditions of the insurance policy and as such, the plaintiff has been able to prove that the defendant company has wrongly repudiated the claim of the plaintiff. The plaintiff has relied upon the ratio of the judgment titled as 'National Insurance Company Limited Vs. Hareshwar Enterprises Pvt. Ltd.' cited as (2021) SCC OnLine SC 628 and has argued that the report submitted by the Surveyor is a credible and reliable piece of evidence and unless more reliable evidence is brought on record to rebut the contents of the report of the Surveyor, the report of the Surveyor can certainly be taken note of as a reliable piece of evidence. In paras no. 11 & 14 of the above stated judgment, the Hon'ble Supreme Court of India has held as under:

"11. In the said decision, it is no doubt held that though the assessment of loss by an approved surveyor is a prerequisite for payment or settlement of the claim, the

surveyor report is not the last and final word. It is not that sacrosanct that it cannot be departed from and it is not conclusive. The approved surveyor's report may be the basis or foundation for settlement of a claim by the insurer in respect of loss suffered by insured but such report is neither binding upon the insurer nor insured. On the said proposition, we are certain that there can be no quarrel. The surveyor's report certainly can be taken note as a piece of evidence until more reliable evidence is brought on record to rebut the contents of the surveyor's report.

.....

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14.....The fact remains that the surveyors report is the basic document which has statutory recognition and can be made the basis if it inspires the confidence of the adjudicating forum and if such forum does not find the need to place reliance on any other material, in the facts and circumstance arising in the case.
....."

53. The plaintiff, in the written final arguments, has further argued that DW-1, in the cross-examination, has admitted that the terms and conditions of the policy were not supplied to the plaintiff with Ex. PW-1/3. It has been further argued that DW-3, the witness from AAIB, has categorically admitted that the plaintiff was imparting the training as per the DGCA approved curriculum, as has been admitted by DW-1 & DW-2 as well and the Balked Landing Procedure was not the part of TPM. It has been further argued that the DWs in the cross-examination have categorically admitted that there were no unsafe conditions for flying and the Ballooning aspect could not be ascertained. It has been argued that the plea raised by the defendant about the non-teaching of Balked Landing Procedure or inappropriate Balked Landing Procedure, while repudiating the claim has no relevance in the light of the cross-examination of DWs.

54. It has been further argued by the plaintiff in the written arguments that the defendant company has not placed on record the Proposal Form. It has been argued that the Proposal Form is the first and foremost document in terms of the ingredients in the contract of insurance. It has been further argued that no certificate in terms of Sub-Clause 3 (4) of the Insurance Regulatory and Development Authority (Protection of Policy Holders' Interests) CS (COMM) 505/2024 Page no. 31 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

Regulations 2002 dated 26.04.2002 has been placed on record by the defendant company which shows that the Proposal Form was submitted by the plaintiff with the defendant company but the same has been intentionally concealed by the defendant company with the sole motive to defeat the claim of the plaintiff. On the aspect of the Proposal Form, the plaintiff has relied upon the ratio of the judgment titled as 'Mahakali Sujatha Vs. The Branch Manager, Future Generali India Life Insurance Co. Ltd. & Anr.' cited as (2024) 8 SCC 712, wherein, in paras no. 31 & 32 thereof it has

been held by the Hon'ble Supreme Court of India as under:

"31. Sometimes the standard of duty of disclosure imposed on the insured could make the insured vulnerable as the statements in the proposal form could be held against the insured. Conversely, certain clauses in the policy of insurance could be interpreted in light of the contra proferentem rule as against the insurer. In order to seek specific information from the insured, the proposal form must have specific questions so as to obtain clarity as to the underlying risks in the policy, which are greater than the normal risks.

32. From the aforementioned discussion, it is clear that the principle of utmost good faith puts reciprocal duties of disclosure on both parties to the contract of insurance. These reciprocal duties mandate that both the parties make complete disclosure to each other, so that the parties can take an informed decision and a fair contract of insurance exists between them. No material facts should be suppressed, which may have a bearing on the risk being insured and the decision of the party to undertake that risk. However, not every question can be said to be material fact and the materiality of a fact has to be adjudged as per the rules stated in the aforementioned judgment."

55. The plaintiff has also relied upon the ratio of the judgment titled as 'M/s Texco Marketing Pvt. Ltd. Vs. Tata AIG General Insurance Co. Ltd. & Ors.' reported as (2022) 9 SCR 1031, wherein, in paras no. 14 & 21 thereof, it has been held as under:

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"14. The principles governing disclosure, good faith and notice are founded on the common law principle of fairness. These principles are meant to be applied with more rigour in standard form contracts such as insurance contracts. Such an application is warranted much more when we deal with an exclusion clause. A very high standard of good faith, disclosure and due compliance of notice is required on the part of the insurer, keeping in view the unique nature of an insurance contract.

21. On a discussion of the aforesaid principle, we would conclude that there is an onerous responsibility on the part of the insurer while dealing with an exclusion clause. We may only add that the insurer is statutorily mandated as per Clause 3(ii) of the Insurance Regulatory and Development Authority (Protection of Policy Holder's Interests, Regulation 2002) Act dated 16.10.2002 (hereinafter referred to as IRDA Regulation, 2002) to the effect that the insurer and his agent are duty bound to provide all material information in respect of a policy to the insured to enable him to decide on the best cover that would be in his interest. Further, sub-clause (iv) of Clause 3 mandates that if proposal form is not filled by the insured, a certificate has to be incorporated at the end of the said form that all the contents of the form and

documents have been fully explained to the insured and made him to understand. Similarly, Clause 4 enjoins a duty upon the insurer to furnish a copy of the proposal form within thirty days of the acceptance, free of charge. Any non-compliance, obviously would lead to the irresistible conclusion that the offending clause, be it an exclusion clause, cannot be pressed into service by the insurer against the insured as he may not be in knowhow of the same."

56. Relying upon the ratio of the above stated two judgments, it has been argued by the plaintiff, in the written arguments that principle of utmost good faith puts reciprocal duties of disclosure on both the parties to the contract of insurance. It has been further argued that since the insurer, which is the defendant company has failed to place on record any Proposal Form and since the terms and conditions of the policy were never supplied by the defendant company to the plaintiff, the defendant company cannot rely upon the exclusion clause and the warranties and conditions referred to CS (COMM) 505/2024 Page no. 33 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

in the Repudiation Letter. It has been argued that there was no breach of the terms and conditions of the insurance policy on the part of the plaintiff and going by the cross-examination of DWs, the plaintiff has been able to prove its case.

FINAL ARGUMENTS ADDUCED BY THE DEFENDANT

57. In the written final arguments, placed on record by the defendant, the defendant has argued that the primary ground for repudiation of the insurance claim of the plaintiff was the failure on the part of the plaintiff to impart the training to the Trainee Pilot as per the DGCA approved Training & Procedure Manual which amounts to the breach of the policy condition AVN-1C and AVN94. It has been further argued that as per the approved TPM, 'Touch & Go', 'Go Around' and 'Recovery from Balloon/Bounce/PIO' are three different exercises but the plaintiff has by-passed the procedures and training exercises provided in Ex. PW-1/D1.

58. Relying upon the cross-examination of PW-1, the defendant has argued that PW-1 has placed on record the Flying Training Progress Sheet of the Trainee Pilot as Ex. PW-1/P2 and perusal of Ex. PW-1/P2 reveals that the Assisted Touch & Go training was never imparted to the Trainee Pilot during his Dual Exercise before he was allowed to fly solo.

59. The defendant, in the written arguments, has relied upon the AAIB Report (Aircraft Accident Investigation Bureau Report) exhibited as Ex. PW-1/D2 and Ex. DW-3/A as well and has argued CS (COMM) 505/2024 Page no. 34 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

that the above said report clearly states that there was no adherence on the part of the plaintiff to the circulars of DGCA. It has been further argued that the Assisted Touch & Go training was never imparted to the Trainee Pilot by the plaintiff in violation of the DGCA approved TPM and the Balked Landing Procedure was never taught to the Trainee Pilot which amounts to violation of the terms

and conditions of the insurance policy. It has been further argued that PW1 has admitted in his cross-examination that Captain Unnati, Sh. Nidees G.S and Captain Yogesh had been the Training Instructors but not even a single competent witness has been examined by the plaintiff to prove that the training was imparted to the Training Pilot as per DGCA approved TPM. It has been argued that AAIB report has categorically stated that there has been breach on the part of the plaintiff of the warranties and conditions of the insurance policy as Assisted Touch & Go training was never imparted to the Trainee Pilot. It has been argued that there has been a breach of the DGCA Flying Training Advisory Circular 1 of 2013 and there has been contravention of the DGCA's CAR Section 2 Series 10 Part II para no. 9 & 4 of the part of the plaintiff because the load and trim sheet was never prepared by the student Pilot Mr. Shivam Rajendra Mehra. It has been argued that there has been breach of AVM-1C and AVM 94 clause of the insurance policy and as such, the claim of the plaintiff has been rightly repudiated by the defendant company. It has been argued that as per AAIB report, the probable cause of the accident is the inappropriate aircraft handling after Touch Down and incorrect execution of Balked Landing Procedure.

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60. The defendant, in the written arguments, has further argued that the Surveyor Report is not binding upon the insurance company and the plaintiff has failed to produce any witness to prove the correctness of the contents of the Surveyor report Ex. PW-1/18 on record. It has been argued that the Surveyor Report is neither binding on the insured nor on the insurer. The defendant in this context has relied upon the ratio of the judgments titled as 'National Insurance Co. Ltd. vs. Hareshwar Enterprises P. Ltd. and 'New India Assurance Co. Ltd. vs. Pradeep Kumar'.

61. Defendant, in the written final arguments, has further argued that the submission of the plaintiff to the effect that the AAIB Report Ex. PW-1/D2 cannot be relied upon is absolutely wrong and untenable. It has been argued that PW-3 has proved on record the above said AAIB Report and the same has to be relied upon. It has been further argued that the testimony of PW-1 is not reliable and trustworthy as he is completely unaware of the observations made in the Flying Training Progress Sheet and also because no Flying Instructor of the Trainee Pilot has been produced by the plaintiff before the Court. It has been argued that the credibility of PW-1 is highly doubted because of the lack of knowledge and understanding of the technicalities involved.

62. It has been further argued by the defendant that the recommendations of the Regional / Divisional Office in the claim file Ex. PW-1/X1 is not more than an opinion for the internal use of the company and the Head Office can always take a final decision qua the claim of the insurer. The defendant, in this CS (COMM) 505/2024 Page no. 36 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

context, has relied upon the ratio of the judgments titled as 'Mahadev & Others Vs. Sovan Devi & Others' cited as MANU/SC/1076/2022 and 'Sethi Auto Service Station & Ors. Vs. DDA & Ors' cited as MANU/SC/8127/2008.

63. It has been further argued that the submission of the plaintiff to the effect that the terms and conditions of the policy were not supplied to the plaintiff is also not tenable because the policy in question was renewal of the previous policy and the plaintiff was well aware about the terms and conditions of the policy. It has been prayed that the suit of the plaintiff be dismissed as the claim of the plaintiff has been rightly repudiated by Letter of Repudiation dated 10.02.2023 Ex. PW-1/14 on record.

64. I have carefully gone through the entire material available on record and heard the rival submissions of both the Ld. counsels for the parties. I have also meticulously perused the final arguments in writing placed on record by both the parties and the case laws cited on behalf of both the parties. My issue-wise findings are as under:

ANALYSIS AND FINDINGS Issues no. 1 & 2

65. Both these issues are being taken up together as the same are connected inter-se, overlap each other and relate to the prayer clause of the present suit. The onus to prove both the above said issues has been placed upon the plaintiff.

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66. Certain facts are not in dispute, in the present suit. It is not in dispute that the defendant company had issued the insurance policy Ex. PW-1/3 (Mark DW-1/1) in favour of the plaintiff covering the period from 19.01.2021 to 18.01.2022 for the aircraft of the plaintiff which was being used by the plaintiff for training purposes. Though, there is a dispute in between the plaintiff and the defendant to the effect that the terms and conditions of the policy were provided by the defendant to the plaintiff or not, yet, it is not in dispute that the aircraft of the plaintiff company was badly damaged in the accident dated 20.09.2021, while the plaintiff was imparting training to the Trainee Pilot Mr. Shivam Rajendra Mehra at the Baramati Airport. It is not in dispute that the plaintiff company vide email dated 21.09.2021 notified the Broker, through whom the coverage was obtained at Delhi and requested the defendant company to appoint a Surveyor for the assessment of the loss. It is not in dispute that the defendant company appointed M/s S.B. Nalluri & Associates as the Surveyor to assess the loss and the Surveyor submitted his Surveyor Report dated 20.01.2022 Ex. PW-1/18 on record, after assessing the loss. It is not in dispute that the Surveyor recommended the assessed loss to the extent of Rs. 1,13,36,667/-. It is not in dispute that the incident of accident was investigation by AAIB and AAIB submitted its report Ex. PW-1/D2. It is not in dispute that on the basis of the report submitted by AAIB, the defendant company repudiated the claim of the plaintiff, in contravention of the Surveyor report vide letter dated 10.02.2023 Ex. PW-1/14. The TPM approved by the DGCA, as per which the training was being imparted by the plaintiff to the Trainee Pilot exhibited as Ex.

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PW-1/D1 is also not in dispute.

67. The first submission of the defendant is that there was a failure on the part of the plaintiff to impart the training to the Trainee Pilot as per the DGCA approved TPM (Training & Procedure Manual) and therefore, there has been a breach of the terms and conditions of the insurance policy.

68. It has to be seen that during the cross-examination of PW-1 the TPM of the plaintiff was exhibited as Ex. PW-1/D1. PW-1 in the cross-examination has admitted it to be correct that the Flying Training provided by the plaintiff is as per the approved program by DGCA. PW-1 has admitted it to be correct that the plaintiff cannot by-pass the procedures and training exercises provided in Ex. PW-1/D1.

69. DW-1 in the cross-examination has admitted it to be correct that the defendant company was well aware of the business of the plaintiff company and that the defendant company was well aware of the training procedure being given by the plaintiff company and the same was approved by DGCA. DW-1 has admitted it to be correct that the defendant company had gone through the Flight Training Progress Report Ex. PW-1/P2 on record of the Trainee Pilot and that the Surveyor never pointed out the violations in the Flight Training Progress Report, which were only available in the AAIB report. DW-1 has admitted it to be correct that the defendant company never raised any objection regarding the training manual issued by the plaintiff company and CS (COMM) 505/2024 Page no. 39 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

that the plaintiff company was imparting the training as per the Training Manual of the plaintiff approved by DGCA.

70. DW-3, who is the witness from AAIB and who is the signatory to the AAIB report Ex. DW-3/A, has also stated in his cross-examination that he had examined the TPM followed by the plaintiff company at the relevant time and the said TPM was approved by the DGCA. DW-3 has admitted it to be correct that the teaching of the Balked Landing Procedure was not part of the said TPM.

71. Going by the above said cross-examination of DW-1 and DW-3, I am of the opinion that the submission of the defendant to the effect that the training was being imparted by the plaintiff not in accordance with the DGCA approved TPM is absolutely wrong and untenable.

72. The second and main submission of the defendant is on the aspect of the AAIB report. The defendant, in the written arguments and in the written statement as well, has heavily placed reliance on the AAIB Report Ex. PW-1/D2, on the basis of which the claim of the plaintiff was repudiated vide letter dated 10.02.2023 Ex. PW-1/14 on record. The defendant has taken the categorical plea that the Assisted Touch & Go landing was never taught to the Trainee Pilot before conducting the solo flights. It has been further argued that there was a violation of the DGCA's Civil Aviation Requirements, violation of AVN-1C and AVN94. It has been further argued that as per the AAIB report, even the cameras were CS (COMM) 505/2024 Page no. 40 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

not installed in the training aircraft, which is also in contravention of the DGCA Flying Training Advisory Circular 01 of 2023.

73. The crux of the controversy, in fact, is the report submitted by the AAIB Ex. PW-1/D2 on record, which investigated the accident which took place on 20.09.2021 at Baramati. The crucial witness, on the aspect of the AAIB report, which is of immense importance, in the facts and circumstances of the present case, is DW-3 Sh. Amit Kumar, who is one of the signatories of the above stated report Ex. PW-1/D2 (also exhibited as Ex. DW-3/A).

74. The material aspects of the testimony of DW-3 have already been discussed hereinabove. The ultimate conclusions, in respect of the cause of accident, have been mentioned in the above stated report in para no. 3 thereof. Para no. 3.1 pertains to the findings recorded by the AAIB and para no. 3.2 pertains to the probable cause of accident. DW-3 in the cross-examination has categorically admitted that the Trainee Pilots are prohibited to carry out Touch & Go Procedure during solo flights and that the conclusions mentioned under the column of findings from 3.1 to 3.7 were not the cause of accident. DW-3 has further stated that as per the investigation team, the findings mentioned at 3.10 was the probable cause of accident and the same was not the part of TPM. Para no. 3.2 of the AAIB report states that the probable cause of accident was the inappropriate aircraft handling after Touch Down and incorrect execution of Balked Landing Procedure, as specified in the AFM. It has been further mentioned that the reason for CS (COMM) 505/2024 Page no. 41 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

aircraft getting air borne again after a smooth landing could not be ascertained during the investigation. DW-3 has admitted that no unsafe conditions were ascertained during the investigation pertaining to the Ballooning aspect as there were two contradictory statements.

75. So far as DW-3 is concerned, I am of the opinion that the plaintiff in the arguments in writing has rightly argued that the above said AAIB report is not meant for apportioning the blame or liability and sole purpose of the investigation carried out by AAIB was to prevent the accident in future. As such, to my mind, it has been rightly argued that the above said AAIB report was not meant for apportioning the blame or the liability, by the plaintiff. DW-1 as well in the cross-examination has categorically admitted that there is a disclaimer on the above said aspect of the matter in the report submitted by AAIB.

76. Further, I am of the opinion that even if the above said report submitted by the AAIB is taken to be prima facie correct, then also, the probable cause of accident was the inappropriate aircraft handling after Touch Down and incorrect execution of Balked Landing Procedure as specified in the AFM. DW-3 has categorically stated that the reason for the aircraft in getting air borne again after the smooth landing could not be ascertained during the investigation. As such, to my mind, the submission of the defendant to the effect that Assisted Touch & Go Landing was not taught to the Trainee Pilot or that there was a violation of the AVN-1C and AVN 94 are not plausible and sustainable at all in CS (COMM) 505/2024 Page no. 42 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

view of the cross-examination of DW-3 and in view of the AAIB report. Needless to mention that DW-3 has categorically admitted in the cross-examination that Trainee Pilots are prohibited to carry out Touch & Go procedure during solo flights. The inappropriate aircraft handling by the Trainee Pilot and the consequent damage to the aircraft are admissible as claim and the said fact has not been denied even by the defendant.

77. In the light of cross-examination of DW-1, I am of the opinion that it has been rightly argued by the plaintiff that the terms and conditions of the policy at the time of the renewal thereof were never supplied to the plaintiff. DW-1 has categorically admitted that he cannot show any document from the Court record that the terms and conditions were supplied along with the policy and that Ex. PW-1/3, the policy document shows that only three pages were printed. Otherwise also, in the light of the above said discussion, the defendant has failed to prove on record any fundamental breach of the terms and conditions of the policy which was valid on the date and time of the accident in question.

78. The plaintiff, in the arguments in writing, has also argued that the Proposal Form has not been filed on record by the defendant. DW-1 in the cross-examination has admitted that in the Proposal Form, the details of the insured and the business being performed are sought for before underwriting the risk and that no Proposal Form has been placed on record. To my mind, the plaintiff, in the arguments in writing has rightly argued that in the CS (COMM) 505/2024 Page no. 43 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

absence of Proposal Form, the exclusion clause in the policy cannot be pressed by the insurer as has been held in the judgments titled as 'Mahakali Sujatha (Supra)' and 'Texco Marketing Pvt. Ltd. (Supra)', relied upon by the plaintiff in the written arguments.

79. Admittedly, the Surveyor appointed by the defendant had recommended the assessment of the loss to the aircraft of the plaintiff to the tune of Rs. 1,13,36,667/- in the report of the Surveyor dated 20.01.2022 Ex. PW-1/18 on record. The defendant has argued that the report of the Surveyor is neither binding upon the insured nor upon the insurer. In this context, both the parties have relied upon the ratio of the judgment titled as 'National Insurance Co. Pvt. Ltd. Vs. M/s Hareshwar Enterprises (P) Ltd. & Ors. (Supra)'.

80. Going by the above stated judgment, I am of the opinion that though, the report submitted by the Surveyor is not binding but the above said report is of immense importance and has to be taken note of as a piece of evidence until more reliable evidence is brought on record. In the case in hand, I have no hesitation to hold that there is nothing on record to show that the defendant repudiated the claim of the plaintiff rightly on the basis of the AAIB report Ex. DW-3/A on record. As such, to my mind, the report of the Surveyor is correct to the extent that the plaintiff is entitled for the claim to the extent of Rs. 1,13,36,667/-.

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81. I have no hesitation to hold that if weighed on the scale of preponderance of probabilities, the testimony of PW-1 appears to the Court to be more reliable and trustworthy as compared to the testimony of DWs. To my mind, the submission of the defendant as contained in the arguments in writing to the effect that there was a breach of the terms and conditions of the insurance policy on the part of the plaintiff does not hold much water. It has already been held hereinabove that nothing has been placed on record by the defendant to show that there was a fundamental breach of the terms and conditions of the insurance policy, even if the report of AAIB is taken to be prima facie correct.

82. As a result, in the light of the above said discussion, I am of the opinion that the plaintiff is entitled to a decree for recovery of Rs. 1,13,36,667/- as prayed for by the plaintiff in the plaint. Issue No. 1 stands decided in favour of the plaintiff accordingly.

83. So far as issue no. 2 is concerned, it has to be seen that DW-1 has admitted in the cross-examination that the Surveyor Report was issued on 20.01.2022 and the defendant company must have received the hard copy thereof within a period of 10-15 days thereafter. The claim of the plaintiff has to be settled within a period of 30 days from the date of receipt of last document, even as per the cross-examination of the DW-1. Though, DW-1 states that the last document from the Surveyor / Claimant was received 30 days prior to date of repudiation of the claim but there is no such document on record. As such, I am of the opinion that the plaintiff has rightly claimed the interest w.e.f 01.01.2023, keeping CS (COMM) 505/2024 Page no. 45 of 46 M/s Redbird Flight Training Academy Pvt. Ltd. Vs. M/s National Insurance Co. Ltd.

in view the fact that the date of the accident was 20.01.2021 and the report of the Surveyor was issued on 20.01.2022. However, the plaintiff has claimed the interest @ 18% per annum, which appears to be on a higher side, keeping in view the banking rates of interest and the present economic scenario. As such, the plaintiff is held entitled for the interest @ 9% per annum on the amount of Rs.1,13,36,667/- w.e.f 01.01.2023 till the date of realization of the decretal amount. Issue no. 2 stands decided accordingly.

Issue no. 3:

84. In the light of the findings upon issues no. 1 & 2, the suit of the plaintiff is hereby decreed for an amount of Rs. 1,13,36,667/- (Rupees One Crore Thirteen Lacs Thirty Six Thousand Six Hundred Sixty Seven Only) together with the interest @ 9% per annum on the above stated amount of Rs.1,13,36,667/- w.e.f 01.01.2023 till the date of realization of the decretal amount.

85. Decree sheet be prepared by the Reader, after payment of the additional Court Fees, if any.

86. File be consigned to the record room.

Announced in the open Court on 08th April 2026 (RAJ KUMAR) District Judge, (Commercial Court)-01 South West District, Dwarka Courts New Delhi CS (COMM) 505/2024 Page no. 46 of 46
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